

We describe in detail the operating fundamentals for each of the four layers. We close off the chapter with a practical discussion of technical analysis and how the innovative investor can use these tools to help the timing of both cryptoasset purchases and sales.

MINERS

One of the most important, but often overlooked, indicators of a cryptoasset's ongoing health is the support of the underlying security system. For proof-of-work based systems, such as Bitcoin, Ethereum,¹ Litecoin, Monero, and many more, security is a function of the number of miners and their combined compute (or hashing) power.

Since miners are the ones validating transactions and building the asset's blockchain, their combined compute power needs to be robust enough to fend off attackers that want to trick the network into processing invalid transactions. The only way attackers can process invalid transactions is if they own over half of the compute power of the network, so it's critical that no single entity ever exceeds 50 percent ownership. If they do, then they can perform what's referred to as a *51 percent attack*, in which they process invalid transactions. This involves spending money they don't have and would ruin confidence in the cryptoasset. The best way to prevent this attack from happening is to have so many computers supporting the blockchain in a globally